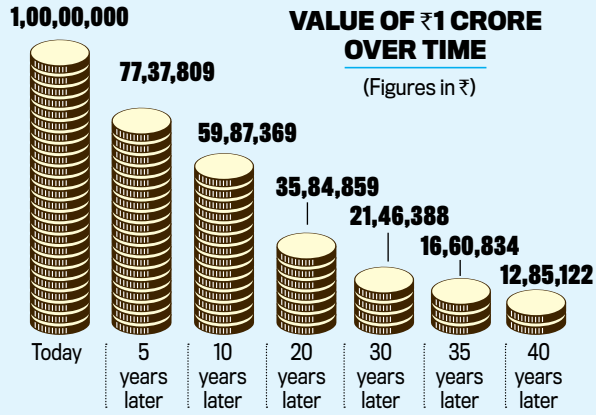
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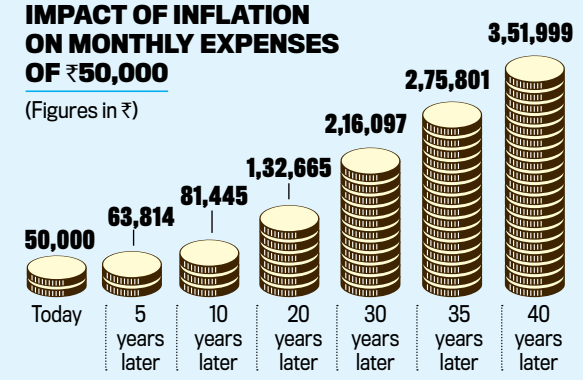
TARGET ₹1 CRORE	
YEARS TO TARGET	MONTHLY INVESTMENT
30	₹4,387
25	₹7,474
20	₹13,060
15	₹23,927
10	₹48,414

Assuming 10% return on investments

value of a crore over time is not to scare you, but for you to understand that the impact of inflation eats into your wealth. You need to set a much bigger target for wealth creation than settle for just a crore, which today seems a good sum, but may not be enough a couple of decades from now.

Another way to factor in inflation is to understand its impact on your monthly household expenses. Suppose, your monthly household expenses today are Rs 50,000, with 5 per cent inflation, this figure will be Rs 1.32 lakh in 20 years when you turn 50 (see *Impact of inflation on monthly household expenses of Rs 50,000*). So, as much as Rs 1 crore seems a big as well as achievable target to save for, it is not a





HOW LONG WILL ₹1 CRORE LAST?	
MONTHLY EXPENSES	NO. OF YEARS
₹50,000	12
₹75,000	8 years 9 months
₹1 lakh	7 years

Assuming the corpus earns 5% returns without adjusting inflation

constant figure. Those aspiring to have Rs 1 crore with a few decades ahead of them should aim for a higher target.

Likewise, those having this sum right now and considering retirement need to rethink if they are in their 40s and early 50s because, with increasing longevity, this sum will not be enough for them as their withdrawal from this corpus may increase or their risk appetite would go down and the corpus may just about match inflation. For instance, if Rakesh has Rs 1 crore today and considers retiring, this money at Rs 50,000 monthly expenses would last him just 12 years (see *How long will Rs 1 crore last?*).

So, even those who are closer to retirement and with a crore with them need to think about this figure just not being enough to last their retired life of 20 years or more. Suddenly, it seems that a crore is just not enough. It becomes important for one to start early with saving and investing to build the first crore and then continue the boring habit of regular investing to boost this target. While it looks very easy to accumulate a crore, it needs discipline.

For instance, by investing Rs 10,000 through an SIP and earning a 10 per cent return for 30 years, you will accumulate Rs 2.27 crore. But, if you delay this process by even a year, your accumulation will be dented by Rs 22 lakh and add up to Rs 2.05 crore. A five-year delay could shave off your corpus by Rs 95 lakh, which is a big sum to lose out over a late start. You need to realise the impact of the power of compounding and the advantage of SIPs to accumulate a target, but not at the expense of losing out on the opportunity due to a late start. ■

Rs 5,000 less to repay the EMI or investing the sum on a goal and its impact on your finances.

Think about an evolving financial life which includes your financial stages such as changing careers, raising a family and changing circumstances in life which your financial plan needs to adjust to. While traditional financial planning also factors in stages of life, it sets a blueprint for you to follow at each stage. For instance, a family of two kids with the possibility of parents staying together calls for having a 3-4 bedroom house to manage the multi-generational home. However, as children start moving out, chances are the need for the house reduces to two bedrooms.

In the above example, one could actually own a 2-bedroom house while